

BEML Established 1964

The third largest manufacturer of earth-moving equipment in Asia, with Rs 50,000 crore worth of orders for Metro coaches and a Rs 3,000-crore turnover, BEML has beaten the global recession unlike its US-based counterpart Caterpillar that had to shed 20,000 jobs

WHEN THE EARTH MOVED

Timing high seems to have paid off for this company. From a computerised Metro coach to two-storeyed gigantic earth movers, BEML has accomplished what most Indian public sector units (PSUs) only dream of. It is sitting pretty on a Rs 50,000-crore order book for nearly 400 Metro coaches. India's first standard gauge Metro coach was flagged off in Bangalore last month, and Delhi Metro boss E. Sreedharan, who was at the BEML factory complex, rejoiced, "We never imagined a coach like this will roll off an Indian factory." Making coaches like these in India reduces the cost of each by about 10 per cent. And considering that a standard coach costs between Rs 11 and 13 crore, that's a huge saving and an even bigger push for the country's Research and Development (R&D) too.

The third largest manufacturer of earth-moving equipment in Asia, BEML has also diversified into various sectors such as coal mining, steel, cement, power, irrigation, construction, road building and railways. "We are like a factory to the world and the opportunities are enormous," says its Chairman and Managing Director V.R.S. Natarajan, 57. A postgraduate in social sciences from Madras University, Natarajan worked in private sector companies like Blue Star and Binny before joining government undertakings such as ECIL and now BEML. When he joined in 2000, it had zero orders from the Indian Railways to make coaches. He excavated a Cabinet note that permitted PSUs to make rail coaches. He ensured that BEML



V.R.S. Natarajan 57, Chairman and MD

"There is absolutely no limit to growth and no stopping to diversification of ideas and products."

3,500 km
of track of the Indian Railways is slated for electrification during the 11th plan, nearly double the 10th Plan achievement.

factories were rolling out about 400 to 500 units every year. And such was its progress that the BEML's 400-odd acre factory complex in Bangalore can now boast of having the capacity to produce more than a thousand rail coaches every year.

The chairman is betting high on R&D. His shop floors have enough machine tools, he says. In one sprawling centre there are more than 1,100 tools to take on a variety of projects. A new 10-acre Rs 120-crore R&D centre is coming up near the Bangalore factory complex. Last year, it clocked

a turnover of Rs 3,000 crore and is planning to push it up to Rs 4,000 crore for 2010.

Natarajan is also eyeing a big pie in defence production. Half of the Rs 60,000 crore set aside for importing equipment will be sourced to Indian companies as part of the offset operations and BEML is hoping to lay its hands on a big chunk. Servicing battle tanks like the T-72, for instance, is a plum opportunity. It is not just earth moving ideas; BEML is now winging its way high into aerospace, tapping other PSUs like HAL, ISRO and other defence establishments for engineering solutions in aerospace. For Natarajan, even sky is not the limit.

by Stephen David